REPUBLIC OF NAMIBIA

MINISTRY OF INDUSTRILISATION AND TRADE

FIRST READING SPEECH

HONOURABLE LUCIA IIPUMBU, MP

MINISTER OF INDUSTRIALISATION & TRADE

Honourable Speaker,

Honourable members of this House,

1. It is my pleasure to introduce the Close Corporations Amendment Bill, which is intended to amend the Close Corporations Act, 1988 (Act No. 26 of 1988).

Honourable Speaker,

Honourable Members,

2. It is common cause that the majority of our population prefer registering Close Corporations as opposed to Companies due to the fact the Close Corporations are less rigid than Companies. It therefore follows that there is a need to ensure that entrepreneurs who opt to register Close Corporations should not only receive adequate legal cushioning but such cushioning should be current. The Ministry of Industrialisation and Trade, through its implementing agency, the Business Intellectual Property Authority has embarked upon the process of reviewing both the Close Corporations and the Companies Act. This process progressing very well with various stakeholder consultations having been conducted in a number of regions and it is our projection that the said consultations will conclude in mid-July 2023. While having already kick started the review process, Namibia underwent her second peer review/mutual evaluation by the Eastern and Southern African Anti-Money Laundering Group (ESAAMLG) and

Financial Action Task Force (FATF). The outcomes from the peer review thus necessitates a piecemeal amendment of the Act to avoid Namibia being grey listed.

3. While the government is prioritizing the findings from the peer review, government is also cognizant of the fact that the review of the law should be undertaken with the understanding of the role of close corporations in the 21st century and their role in the economy as a whole. One key role for the government is to ensure that the regulatory framework within which enterprises operate promotes growth, employment, innovation, stability, good governance, confidence and international competitiveness.

4. Should Namibia not be able to demonstrate sufficient progress at the end of the 12-month period, the country may be escalated by the FATF for grey-listing, which Namibia should avoid at all costs as it will lead to:

   a) an up to 7% negative impact on the Gross Domestic Product,

   b) No new Foreign Direct Investment until removal from FATF grey listing and until 6 (six) months thereafter, and

   c) Possible termination of, or extreme and costly enhanced due diligence measures on correspondent banking relationships with the Bank of Namibia and commercial banks operative in Namibia.

5. On 13 December 2022 Cabinet approved the National Action Plan aimed at addressing all the deficiencies highlighted in Namibia's Mutual Evaluation Report, as per Cabinet Action Letter, **DECISION NO: 22nd /13.12.22/003,** which included the amendment of various laws and the introduction or fast tracking of new Bills.

   Amongst the Amendments approved the following are presented for your consideration:

   a) The Close Corporations Amendment Bill

Honourable Speaker,

THE CLOSE CORPORATIONS' AMENDMENT BILL, which is to amend the Close Corporations Act, 1988 (Act No. 26 of 1988)

6. The Ministry of Industrialisation and Trade in collaboration with the Business and Intellectual Property Authority accordingly ensured the drafting of the Close Corporations Amendment Bill to ensure, amongst others, the following:

   a) to insert new definitions;

   b) to require close corporations to keep and maintain registers of beneficial owners; and

   c) to provide for incidental matters.

7. The effective date for the commencement of this Close Corporations Amendment Bill will be upon publication in the Government Gazette.

I thank you Honourable Speaker